

The London Stock Exchange and FTSE Index

One of the world's oldest stock exchanges, the London Stock Exchange (LSE) allows companies from around the world to raise money, increase their profile, and obtain a market valuation through a variety of routes.

London Stock Exchange

The centre of the UK financial world is the London Stock Exchange (LSE). It is ranked third in the world in terms of market capitalization – the value of the company shares traded on the exchange. It is also one of the most international stock markets, with companies from more than 60 countries represented.

Shares make up the bulk of selling activity, but the LSE also sells other types of securities such as bonds, derivatives, funds, warrants, commodities, and gilts (mainly UK government bonds).

Around 2,600 companies are listed with the LSE. These are split between two main sections: the Main Market for the largest companies, and the Alternative Investment Market (AIM) for small- to medium-sized companies. There are also specialized sections, which include the Professional Securities Market (PSM) and Specialist Market Fund (SMF). All of these sections operate as marketplaces. Buyers can purchase investments from companies or institutions that are raising money by selling a stake in their businesses (shares), or offering a return on a temporary debt purchase (debt securities such as bonds).

The total value of all the companies trading on the LSE is around £3 trillion. The top 100 companies account for close to 80 per cent of this amount. These are the well-established, top-performing blue-chip companies that trade on the Main Market, which is tracked by the FTSE, the Financial Times Stock Exchange 100 Index. The remaining companies trade on the secondary market, AIM, or on the PSM or SMF.

Owned by the London Stock Exchange Group, the LSE also offers access to the group's other trading platforms: the Borsa Italiana, Italy's main stock exchange in Milan; MTS, Europe's leading fixed-

income market that trades mostly government bonds; and Turquoise, a pan-European multilateral trading facility that trades securities from 19 different European countries.

Main Market

Before it can be listed on the LSE's Main Market, a company must be valued at £700,000 or more. It must also provide at least three years' worth of audited accounting statements that have been prepared in accordance with International Financial Reporting Standards (IFRS).

The Main Market comprises a number of sections, each of which has its own requirements for listing and an index for tracking ups and downs in trading.

FTSE 100 The best-known index of the LSE is the Financial Times Stock Exchange (FTSE) 100 Index. Nicknamed the "Footsie", the index tracks the sale of shares from the top 100 blue-chip companies listed on the LSE including BP, Rio Tinto, Tesco, and RBS. It is recalculated every 15 seconds to indicate live trading volumes and track performance minute by minute. The companies in the top 100 are reviewed and adjusted every quarter to make room for new top performers.

FTSE 250 The FTSE 250 lists the LSE's 250 next most valuable companies (following the FTSE 100 companies), ranking them from 101 to 350.

FTSE 350 The FTSE 350 lists the top 350 companies in the UK, and is a combination of the FTSE 100 and the FTSE 250.

FTSE SmallCap The FTSE SmallCap companies (the next tier down from FTSE 350 companies) are ranked by their worth from 351 to 619. The name SmallCap alludes to the fact that these firms have smaller capitalization than those of the FTSE 350.